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Employer guide to Saudi Labour Law after the 2025 amendments

The rules an employer in the Kingdom needs to know

The Saudi Labour Law amendments came into force in February 2025, changing probation, notice periods, leave and fixed-term contracts for non-Saudi employees. This guide sums up the core rules with their article numbers.

Probation and contracts

- Probation of up to 180 days, stated expressly in the contract (amended Art. 53). Either party may end the contract during it without award or compensation (Art. 80).
- A non-Saudi's contract without a stated term is deemed a one-year contract and renews for the same period if both parties continue.
- No discrimination in pay or opportunity by gender, age, nationality, marital status or disability.

End-of-service award

- Half a month's wage for each of the first five years and one month for each year after, on the last wage (Art. 84).
- On resignation: nothing under 2 years, one third from 2 to 5 years, two thirds from 5 to 10, the full award after 10 (Art. 85).
- Paid within one week of the end of employment, or two weeks on resignation (Art. 88).

Notice, resignation and termination

- Indefinite contract, monthly pay: 30 days' notice from the employee, 60 days from the employer (amended Art. 75).
- Resignation: the employer responds within 30 days and may defer it by up to 60 days with a written reason.
- Termination for an invalid reason on an indefinite contract: 15 days' wage per year of service, minimum two months' wage (Art. 77).

Overtime and leave

- Overtime: hourly wage + 50% of the basic wage, or paid time off with the employee's consent (amended Art. 107).
- Annual leave of 21 days, 30 days after five continuous years (Art. 109).
- Sick leave: 30 days on full pay, 60 days at three quarters, then 30 days unpaid in a year (Art. 117).
- Maternity: 12 weeks on full pay, 6 of them mandatory after birth (amended Art. 151).
- Marriage 5 days; birth of a child 3 days within 7 days; bereavement 5 days for a spouse, parent or child and 3 days for a sibling (amended Art. 113).

Social insurance and wages

- Non-Saudis: occupational hazards at 2%, paid by the employer.
- Saudis insured before 3 July 2024: pension 9% + 9%, SANED 0.75% + 0.75%, occupational hazards 2% by the employer.
- Saudis insured from 3 July 2024: pension starts at 9% each side and rises 0.5 points a year from July 2025 to 11%. Contributory wage cap SAR 45,000.
- Wage Protection (Mudad): monthly wage file, covering only the previous month since March 2025.

What to do now

- ✓ Update contract templates: probation, term for non-Saudis and the new notice periods.
- ✓ Revise the leave policy: 12-week maternity, 3-day birth leave, sibling bereavement.
- ✓ Check end-of-service and overtime calculations.
- ✓ Make sure the Mudad file goes up monthly and GOSI contributions reconcile.

We keep you compliant with Saudi Labour Law

Talent360 runs HR, hiring, payroll, Qiwa, Mudad and GOSI for you. Book a free HR Health Check.

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Sources

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